

FRAMEWORK · CONVICTION

# Coat-tailing a fund I don't work for

*Why Parag Parikh Flexi Cap is the one mutual fund I'd tell a beginner to buy before they ever open a broking account — and how I use its portfolio as a free research desk.*

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## The one-fund answer

People starting out ask me which stocks to buy. It's the wrong question, and the honest answer disappoints them: for your first few years, buy one fund and spend your energy learning instead of trading. The fund I name is Parag Parikh Flexi Cap. I don't work for PPFAS, I'm not paid to say this, and I hold no brief for them beyond the fact that they run money the way I wish more people did.

## What they actually do differently

Most Indian mutual funds are closet index-huggers with a fee. They own roughly what the benchmark owns, deviate by a percent or two, and charge you for the privilege of underperforming after costs. PPFAS does three things that are rare in combination. They hold cash when they can't find value, rather than forcing money into overpriced names to look fully invested. They own a slice of foreign equity — the mandate lets them, and it means you get exposure to businesses that simply don't exist on Indian exchanges. And they turn the portfolio over slowly, which keeps your tax drag low and signals that they actually believe their own theses.

## The skin-in-the-game part

The detail that moved me from 'respect' to 'conviction' is that the people running the fund have their own net worth in it, disclosed and substantial. That single fact realigns everything. A manager whose family money rides alongside yours does not chase quarterly league tables. It's the closest thing retail investors get to the alignment a good PMS is supposed to provide — and it's available for a fraction of the ticket size.

## How I use them without owning a single unit through them

Here's the part that's useful even if you never buy the fund. Their portfolio is public, monthly. A concentrated, low-turnover book from disciplined managers is a curated shortlist of businesses worth understanding — free. When a name appears or grows, I don't copy the trade; I ask what they might see. It's a research desk I don't pay for. Coat-tailing done right isn't copying positions, it's borrowing a filter.

## The honest case against

I hold this view strongly, so let me argue the other side properly. Size is the real risk: a fund that gets very large loses the ability to move nimbly, and the cash-holding discipline gets harder to maintain under inflows. The foreign-equity sleeve carries currency and regulatory risk that can be capped by rules outside the manager's control — as Indian investors were reminded when overseas-investment limits froze. And past discipline is not a guarantee of future discipline; the person matters, and people change or leave. None of this breaks the thesis for a beginner, but a thesis you can't argue against isn't conviction, it's a crush.

## What I'd actually tell you to do

Buy it, set up a SIP, and then ignore it for three years while you learn to read a balance sheet. The fund is not the point. The point is that it buys you time and a clean conscience while you build the skill that eventually lets you do this yourself — at which stage you may not need them, and will respect them more for it.

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